



Incoming Over the past decade, there has been a huge increase in imports of manufactured products

reveals that by March 2026, as many as 892 applications were approved and investment of over ₹2.4 lakh crore was reported across 14 schemes and over 1.42 million jobs were created. Production and sales of over ₹22.66 lakh crore was reported. The top three sectors in terms of PLI investments were high-efficiency solar PV modules with ₹64,873 crore of investment; pharmaceuticals drugs sector with ₹45,158 crore; and automobile and auto components sector with ₹44,326 crore.

The PLI for the Electronic Component Manufacturing Scheme, particularly smartphones, is also counted among the success stories as it has attracted major global players like Apple's contract manufacturer Foxconn and South Korean giant Samsung and turned the country into a smartphone manufacturing hub, boosting jobs and exports and creating jobs.

However, scratch the surface and several concerns arise. The PLI scheme is seen to be riddled with loopholes

and players are often seen to have taken unfair advantage of it, attracted primarily by the incentives on offer.

Experts also note that several of these schemes have in fact increased imports—be it in pharma or electronics. They question if India is just a component assembler without real manufacturing capabilities.

Dhar says PLI just provides budgetary support without fixing accountability. “The scheme was adopted to reduce the trade deficit with China, but between 2021-22 and 2025-26, this has actually increased by nearly 53%,” he says, calling for an appraisal of the scheme's impact.

Apart from challenges in ease of doing business, tepid R&D investments is also seen to be a stumbling block in scaling up manufacturing capabilities. This was highlighted by a recent report by CareEdge Ratings. “Compared to Asian peers such as China, Japan, South Korea, and Vietnam, India's manufacturing growth remains constrained by lower R&D intensity, limited technology